

Shariah Concept Note: Tawarruq for Personal Financing-i

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This Shariah Concept Note sets out the operational and governance structure of the Tawarruq (Commodity Murabahah) arrangement underpinning AEON Credit Service (M) Berhad's Personal Financing-i product. It details the underlying trading cycle across regulated commodity platforms, agency appointments, Shariah Committee endorsement, calculation of profit rates and selling price, rebate (ibra') mechanism, and customer complaint escalation pathways.

1.0 — Objective and Scope

This document outlines the Shariah contract structure and execution mechanism governing Personal Financing-i offered by AEON Credit Service (M) Berhad ('the Company'). Personal Financing-i is structured under the Shariah principle of Tawarruq via Commodity Murabahah, complying with Bank Negara Malaysia Shariah Governance Framework and approved by the Company's Shariah Committee.

2.0 — Underlying Shariah Contract (Tawarruq Arrangement)

The facility employs Tawarruq, consisting of two distinct sale contracts and agency appointments. The Company acts as the customer's purchase agent (Wakil) to buy specified Shariah-compliant commodities from Commodity Broker A at the purchase price (principal amount). Subsequently, the Company sells the commodities to the customer at an agreed selling price on deferred terms (Murabahah). Lastly, acting as the customer's sale agent, the Company sells the commodities to Commodity Broker B for cash, with the net proceeds disbursed to the customer's designated account.

3.0 — Permissible Commodities and Trading Platforms

Trading under this facility is conducted exclusively via recognized commodity platforms, primarily Bursa Suq Al-Sila' (BSAS) or other approved exchanges. Eligible assets comprise non-ribawi commodities such as crude palm oil (CPO) and plastic resin. Physical delivery is legally permissible, although title transfers occur electronically without encumbrances.

4.0 — Facility Parameters and Profit Structure

Personal Financing-i is offered with financing amounts ranging from RM 3,000 to RM 150,000, with flexible tenures from 12 to 84 months. The profit rate ranges from 6.88% to 14.88% per annum flat, established prior to contract execution based on credit assessment and risk tiers. Total selling price is fixed at inception and comprises the disbursed principal plus accrued profit over the agreed tenure.

5.0 — Rebate (Ibra') Mechanism

The Company grants Ibra' (rebate) on the deferred selling price under defined conditions: early settlement of the facility prior to maturity, restructuring, or default leading to early recall. The rebate reflects unearned profit computed on an actuarial reducing balance basis in accordance with regulatory standards, ensuring the customer only pays profit accrued up to the full settlement date.

6.0 — Late Payment Charges (Ta'widh and Gharamah)

In the event of overdue instalments, compensation for actual loss (Ta'widh) shall be applied at a rate not exceeding 1.0% per annum on the overdue amount. Any additional penalty fee (Gharamah), if collected, shall not be recognized as income by the Company and must be channeled entirely to approved charitable bodies upon Shariah Committee concurrence.

7.0 — Shariah Committee Endorsement and Periodic Audit

The structure, master agency agreements, commodity trading procedures, and product documentation for Personal Financing-i have received formal endorsement from the Company's Shariah Committee. The Internal

Shariah Audit team conducts regular reviews to ensure trading sequencing, ownership transfer, and asset delivery verification remain fully compliant with Shariah rules.

8.0 — Customer Service and Dispute Resolution

Any customer complaints or disputes concerning the execution of Personal Financing-i must be acknowledged within 2 business days and resolved within 14 days. If a dispute remains unresolved or the customer is dissatisfied with the outcome, the case may be escalated to the Ombudsman for Financial Services (OFS).

Schedule / Reference Table

Facility Amount Range (RM)	Tenure Range (Months)	Profit Rate (p.a. Flat)	Contract Structure	Trading Platform	Ibra' Eligibility
RM 3,000 - RM 10,000	12 - 36	14.88%	Tawarruq (Murabahah)	Bursa Suq Al-Sila' (BSAS)	Applicable upon early settlement
RM 10,001 - RM 30,000	12 - 60	11.88%	Tawarruq (Murabahah)	Bursa Suq Al-Sila' (BSAS)	Applicable upon early settlement
RM 30,001 - RM 60,000	24 - 84	9.88%	Tawarruq (Murabahah)	Bursa Suq Al-Sila' (BSAS)	Applicable upon early settlement
RM 60,001 - RM 100,000	24 - 84	7.88%	Tawarruq (Murabahah)	Bursa Suq Al-Sila' (BSAS)	Applicable upon early settlement
RM 100,001 - RM 150,000	36 - 84	6.88%	Tawarruq (Murabahah)	Bursa Suq Al-Sila' (BSAS)	Applicable upon early settlement